Audit Opinions and Next-Year Big 4 Client Transitions

Panel A: Current Big 4 clients (next-year exit)

	MAO	GC	Violation announcement	Unwarned any failure
	(1)	(2)	(3)	(4)
Reported effect	0.303994***	0.206190**	0.029190	0.051188
	(0.073482)	(0.101383)	(0.066330)	(0.051175)
p	< 0.001	0.042	0.660	0.318
95% CI	[0.159633, 0.448355]	[0.007015, 0.405365]	[-0.101122, 0.159502]	[-0.049349, 0.151725]
Observations	3,877	3,877	3,877	3,877

Panel B: Current non-Big-4 clients (next-year entry)

	MAO	GC	Violation announcement	Unwarned any failure
	(1)	(2)	(3)	(4)
Reported effect	-0.002486**	0.001187	-0.002129	0.000426
	(0.001206)	(0.001955)	(0.001461)	(0.001273)
p	0.039	0.544	0.145	0.738
95% CI	[-0.004850, -0.000122]	[-0.002647, 0.005020]	[-0.004993, 0.000735]	[-0.002069, 0.002921]
Observations	60,917	60,917	60,917	60,917

Notes: SE clustered by firm. Nine audit-failure controls and mis_dummy. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.